CLAIM FILE SUMMARY & NOTES

Bodily Injury Complex File Review | Auto Line of Business

Claim #: PA-2026-883491-BI
Policy #: POL-US-993214-04
Adjuster: M. Davies (ID: ADJ-4091)

Insured Name:	Eleanor Vance
Policy Period:	03/15/2026 – 03/15/2027
Policy Limits:	BI $250k/$500k | PD $100k
Insured Vehicle:	2023 Honda CR-V (VIN: 7FARW...)

Date of Loss (DOL):	05/12/2026 @ 17:42 CST
Loss Location:	Intersection of Hwy 6 & Lexington Blvd
Claimant Name:	Marcus R. Holloway (Age: 38)
Claimant Attorney:	Goldman & Associates, P.C.

1. First Notice of Loss (FNOL) & Coverage Verification

Initial Call Intake (05/12/2026, 19:15 CST - Agent: T. Jenkins): Insured called from scene towing dispatch. Reported that while stopped at a red signal on Hwy 6 northbound turning east onto Lexington Blvd, she was hit on the driver's side front quarter panel by Claimant vehicle (2021 Toyota Camry) which entered the intersection. Driver of Camry claimed Insured failed to yield on a flashing yellow left turn arrow.

Coverage Assessment: Policy confirmed active and in good standing with zero delinquency. Named insured listed on declaration page with primary use vehicle. No exclude-driver endorsements apply. Comprehensive, collision, and bodily injury coverages affirmed. PIP/MedPay selection rejected on policy inception under state statutory waiver form #TX-PIP-884.

2. Chronological Intake Logs (Day 1 – Day 3)

05/13/2026 08:30 CST | INITIAL ASSIGNMENT & TRIAGE — **M. Davies (Adjuster)**

Assigned file for priority bodily injury investigation due to reported ambulance transfer of claimant from scene. Initial reserve established at state statutory standard: $15,000 BI indemnity, $8,500 PD indemnity. Dialed Insured for recorded interview; scheduled for 14:00 CST today. Sent standard reservation of rights / contact correspondence.

05/13/2026 14:15 CST | RECORDED STATEMENT - INSURED — **M. Davies (Adjuster)**

Insured Eleanor Vance states she approached intersection in designated left turn bay. Light was green arrow when entering transition zone, changing to yellow as rear wheels crossed stop bar. Insured denies seeing Claimant vehicle until 0.5 seconds before collision. Airbags deployed in insured vehicle; no personal injury claimed by Vance. Insured vehicle sustained structural front bumper, hood, and radiator displacement.

05/14/2026 10:45 CST | POLICE CRASH REPORT RECEIVED — **J. Reynolds (File Tech)**

TxDOT Crash Report #2026-CR-00918 received. Investigating Officer noted conflicting driver statements. Officer cited neither party at scene due to unconfirmed signal timing. Tow record verifies both vehicles non-drivable. EMS unit #4 responded; treated Claimant Holloway for acute cervical pain and head laceration from side-curtain airbag.

3. Liability & Incident Reconstruction Analysis

Liability is disputed based on conflicting accounts regarding signal phases. The Claims Special Investigation Unit (SIU) and accident reconstructionist performed a site visit on 05/18/2026 to inspect intersection sightlines, timing sequences, and camera coverage.

Signal Sequence:	Protected-Permissive Phasing
Posted Speed Limit:	45 MPH on Highway 6
Pavement Conditions:	Dry / Concrete / No debris
Lighting / Visibility:	Dusk, Clear, Street lamps active

Insured Speed at Impact:	Est. 14–18 MPH (turning)
Claimant Speed at Impact:	Est. 41–46 MPH (through-lane)
Dashcam / Traffic Cam:	Gas station exterior cam requested
Comparative Fault Est.:	60% Insured / 40% Claimant

Reconstructionist Field Note (R. Kowalski, PE): Review of municipal traffic engineering logs indicates the permissive yellow interval is 4.2 seconds. Insured's EDM (Event Data Recorder) module download reveals brake application 0.8 seconds prior to impact. Claimant's speed appears consistent with free-flow traffic, but failure to exercise defensive evasive steering when insured began turning across lane suggests shared liability.

4. Chronological Adjuster Logs (Day 4 – Day 15)

05/16/2026 11:20 CST | WITNESS STATEMENT ATTEMPT — **M. Davies (Adjuster)**

Contacted independent witness listed on police report, Gregory Miller (vehicle behind claimant). Witness stated he observed claimant accelerate slightly as traffic signal turned yellow, attempting to clear intersection before phase change. Witness corroborates that insured had already initiated turn slowly across the double southbound lanes. Witness statement recorded and archived.

05/19/2026 15:40 CST | LETTER OF REPRESENTATION (LOR) RECEIVED — **M. Davies (Adjuster)**

Received formal representation letter from Attorney Aaron Goldman representing Marcus Holloway. Letter asserts 100% liability on our insured, demands policy limits disclosure under statutory provisions, and directs all communication cease with claimant directly. Spoke with defense panel counsel regarding local venue tendencies in Fort Bend County.

05/22/2026 09:15 CST | PROPERTY DAMAGE APPRAISAL COMPLETED — **K. Patel (Appraiser)**

Claimant vehicle (2021 Toyota Camry LE) inspected at Copart yard. Sustained heavy front-end impact, structural rail crush, A-pillar pinch, steering column separation. Actual Cash Value (ACV) determined at $19,850. Estimated salvage value $4,200. Total loss confirmed. PD settlement handled under concurrent file PA-2026-883491-PD.

5. Claimant Medical History & Injury Diagnostics

Claimant Marcus Holloway alleges multiple soft tissue injuries, lumbar radiculopathy, cervical spine trauma, and closed head concussion resulting from collision impacts. Initial demand records reviewed by Medical Audit Services.

Date of Svc	Provider / Facility	Diagnosis / Diagnostic Procedure	Clinical Notes
05/12/2026	Memorial Hermann Hospital - ER	C-Spine CT, Head CT, Laceration suture (Forehead: 4cm)	Negative acute fracture/intracranial bleed. Discharged with pain medication.
05/15/2026	Houston Spine & Rehab Clinic	Initial orthopedic evaluation; cervical/lumbar sprain/strain	ROM reduced 35% in flexion/extension; prescribed physical therapy 3x/week.
06/02/2026	Advanced MRI of Texas	MRI Cervical Spine w/o contrast	C5-C6 broad-based 2.5mm disc bulge abutting thecal sac; mild degenerative facet arthropathy.
06/02/2026	Advanced MRI of Texas	MRI Lumbar Spine w/o contrast	L4-L5 disc desiccation with 1.8mm posterior protrusion; no neuroforaminal impingement.
06/18/2026	Texas Pain Specialists (Dr. Chen)	Fluoroscopic-guided cervical interlaminar epidural steroid injection (ESI)	Administered C5-C6 interlaminar ESI under sterile technique. Follow-up 4 weeks.

6. Chronological Adjuster Logs (Day 16 – Day 45)

06/05/2026 14:10 CST | MRI RECORDS REVIEW & CAUSATION AUDIT — **M. Davies (Adjuster)**

Received medical records through 06/03/2026 from claimant counsel. Note findings of disc desiccation at L4-L5 which indicates pre-existing chronic degenerative disc disease rather than purely acute traumatic etiology. Requested prior medical records from ISO index check revealing prior worker's compensation back claim in 2021.

06/22/2026 11:30 CST | INJECTION NOTIFICATION & RESERVE EVALUATION — **M. Davies (Adjuster)**

Attorney sent billing confirmation of first cervical epidural steroid injection. Claimant reported 40% relief of radicular symptoms. Due to invasive injection procedure, BI indemnity reserve increased from $25,000 to $65,000. Supervisor approval obtained from Unit Leader S. Gomez.

07/10/2026 09:00 CST | SUBROGATION NOTICE ISSUED TO ADVERSE CARRIER — **T. Vance (Subrogation)**

Formal subrogation notice sent to Geico (insurer for claimant vehicle for comparative fault recovery). Advised our preliminary investigation places 40% fault on claimant for unreasonable speed and failure to avoid known hazard.

7. Index Bureau (ISO) & Prior Claim History Analysis

A comprehensive ISO ClaimSearch was run against Claimant Marcus R. Holloway (DOB: 11/04/1987, SSN verified). Cross-referencing identified two historical claims involving orthopedic complaints to identical spinal regions.

Prior Loss Date:	08/14/2021 (Commercial Slip/Fall)
Carrier / Claim #:	Travelers #TR-88102-WC
Reported Injury:	Lumbar strain, L4-L5 lumbar sprain
Resolution Status:	Settled $14,200 w/ full release (2022)

Prior Loss Date:	11/03/2018 (Auto Rear-End Accident)
Carrier / Claim #:	State Farm #52-0981-L9
Reported Injury:	Cervical strain & whiplash syndrome
Resolution Status:	Settled $8,500 BI Indemnity

Medical Causation Impact: The presence of pre-existing lumbar strain from the 2021 loss and degenerative changes at C5-C6 and L4-L5 strongly indicates that current MRI findings are chronic baseline conditions with potential acute aggravation, rather than pristine de novo disc herniations caused solely by the subject impact.

8. Chronological Adjuster Logs (Day 46 – Day 75)

07/15/2026 16:20 CST | PRIOR MEDICAL RECORDS SUBPOENA/REQUEST — **M. Davies (Adjuster)**

Requested indexed clinic records from Memorial Bone & Joint relating to the 2021 lumbar claim. Adjuster note: Counsel for claimant had initially denied any prior chronic spine conditions during preliminary informal conference. Will leverage these prior records during settlement negotiation.

08/04/2026 11:05 CST | PEER REVIEW CONSULTATION (DR. H. LANGFORD, MD) — **M. Davies (Adjuster)**

Orthopedic peer review doctor completed records audit. Opinion states: Subject auto collision caused cervical sprain with acute aggravation of pre-existing disc bulge. Physical therapy of 8–10 weeks is standard reasonable protocol. Single injection medically reasonable; recommendations for future disc replacement or fusion deemed completely unrelated to motor vehicle accident.

08/18/2026 13:45 CST | CLAIMANT TREATMENT CONCLUSION NOTICE — **M. Davies (Adjuster)**

Claimant counsel reported that Marcus Holloway reached Maximum Medical Improvement (MMI) on 08/10/2026. Discharge note from PT indicates claimant rated pain at 2/10, down from 8/10 at intake. Formal settlement demand packet is being compiled by attorney's office.

9. Wage Loss & Economic Damages Verification

Claimant Marcus Holloway submitted an economic loss claim seeking compensation for alleged time lost from employment as a logistics supervisor at Gulf Coast Freight Logistics LLC.

Item / Period	Claimed Amount	Audited Amount	Variance & Rationale
Time Off Work (05/13 – 06/09)	4 Weeks @ $1,650/wk = $6,600	4 Weeks @ $1,650/wk = $6,600	Supported by employer wage form & Dr. excuse note.
Part-Time Return (06/10 – 07/07)	20 hrs/wk lost = $3,300	20 hrs/wk lost = $3,300	Light duty work authorization on file from treating physician.
Overtime Loss Projection	$4,800 (10 hrs OT/wk)	$1,200	Historical W-2 shows average overtime was 2.5 hrs/wk, not 10 hrs.
Future Earning Capacity Impairment	$25,000 (Lump sum)	$0.00	Claimant returned to full duty without permanent job restrictions.
Total Economic Wage Claim	**$39,700.00**	**$11,100.00**	**Unsupported overtime and future impairment denied.**

10. Chronological Adjuster Logs (Day 76 – Day 95)

08/25/2026 10:15 CST | EMPLOYER WAGE AUDIT CONTACT — **M. Davies (Adjuster)**

Spoke directly with payroll supervisor Brenda Mills at Gulf Coast Freight Logistics. Verified base salary of $41.25/hour, 40-hour guarantee. Claimant received short-term disability payments covering 60% of base pay for the initial four weeks. Adjuster noted subrogation lien potential from STD carrier (The Hartford).

09/01/2026 14:00 CST | COLLATERAL SOURCE & HEALTH INSURANCE LIEN CHECK — **M. Davies (Adjuster)**

Sent notice of claim to Blue Cross Blue Shield of Texas (claimant's health carrier) and Medicare MSP portal (CMS query negative; claimant is non-Medicare eligible). Received preliminary ERISA subrogation notice from Optum on behalf of BCBSTX totaling $4,120 for hospital facility charges.

09/08/2026 16:30 CST | FORMAL DEMAND PACKAGE RECEIVED — **M. Davies (Adjuster)**

Demand package delivered via certified mail from Attorney Goldman. Demand specifies $225,000 to resolve all bodily injury claims against Eleanor Vance. Response deadline given as 30 calendar days (10/08/2026) under state statutory prompt settlement framework. Demand logged and transferred to complex litigation audit.

11. Medical Special Damages: Billed vs. Reasonable Audit

Texas CPRC § 41.0104 limits recoverable medical expenses to amounts actually paid or incurred by or on behalf of the claimant. Medical bill repricing completed using Fair Health 80th percentile regional benchmarks.

Provider	Billed Amount	Allowed / Repriced	Paid / Lien	Adjuster Determination
Memorial Hermann ER & Phys.	$9,450.00	$3,820.00	$2,450.00 (BCBSTX)	Reasonable emergency care. Suture removal uncomplicated.
Sugar Land EMS Transport	$1,850.00	$1,200.00	$1,200.00 (Out-of-Pocket)	Full allowable accepted for ambulance transfer.
Advanced MRI (C-Spine/Lumbar)	$5,600.00	$1,650.00	$0.00 (LOP)	Unbundled MRI rates reduced to regional standard rate.
Houston Spine PT (24 sessions)	$8,900.00	$4,100.00	$0.00 (LOP)	Reduced excessive modalities. 18 sessions accepted as necessary.
Texas Pain Specialists (ESI)	$7,400.00	$2,950.00	$0.00 (LOP)	Ambulatory surgical center facility fee reduced.
Total Medical Specials	**$33,200.00**	**$13,720.00**	**$3,650.00**	**Net Reasonable Medical Value: $13,720.00**

12. Chronological Adjuster Logs (Day 96 – Day 105)

> **09/12/2026 10:00 CST | LETTER OF PROTECTION (LOP) VERIFICATION** — **M. Davies (Adjuster)**
> Confirmed that Advanced MRI, Houston Spine PT, and Texas Pain Specialists operated under an attorney Letter of Protection (LOP). No health insurance was billed for these treatments despite claimant having active coverage. Billed sums reflect inflated chargemaster pricing. Adjuster noted to maintain firm posture on CPRC § 41.0104 statutory caps.

> **09/15/2026 15:30 CST | CLAIMS ROUNDTABLE COMMITTEE REVIEW** — **M. Davies, S. Gomez, J. Wu**
> Presented file to Bodily Injury Committee. Discussion covered: Disputed liability (60/40 vs. 80/20), prior lumbar and cervical history, successful single injection with claimant returning to work. Committee set overall claim target settlement range at $32,000 – $42,000. Authorized opening counteroffer at $22,500.

13. Extracontractual Exposure & Stowers Evaluation

Under Texas law (*G.A. Stowers Furniture Co. v. American Indem. Co.*), an insurer faces potential extracontractual exposure if it rejects a settlement demand within policy limits where liability is reasonably clear and an ordinarily prudent insurer would pay.

Policy Limits:	$250,000.00 Each Person
Claimant Demand:	$225,000.00 (Within Limits)
Demand Deadline:	10/08/2026 @ 17:00 CST
Release Terms:	Full and final, includes insured

Liability Status:	Contested (Comparative Fault)
Jury Verdict Verdict Risk:	Low-Moderate ($45k – $75k)
Excess Verdict Exposure:	Minimal (Well under $250k)
Legal Conclusion:	Stowers not strictly triggered

Coverage Counsel Assessment (B. Gallagher, Legal): Counsel reviewed the demand package. Because the insured's exposure does not exceed the generous $250,000 policy limit under any realistic trial verdict analysis in Fort Bend County (conservative jury pool), and comparative negligence is supported by witness Miller, rejecting the $225,000 inflated demand does not expose the carrier to bad-faith liability. An affirmative counteroffer is mandated to protect the insured.

14. Chronological Adjuster Logs (Day 106 – Day 115)

09/18/2026 11:20 CST | INSURED ADVICE LETTER DISPATCHED — **M. Davies (Adjuster)**

Sent excess risk / Stowers informational correspondence to Named Insured Eleanor Vance. Informed her of the demand amount received, policy coverage boundaries, our assessment of reasonable value, and her right to consult independent counsel at her own expense if she desires.

09/20/2026 14:45 CST | TELECONFERENCE WITH INSURED — **M. Davies (Adjuster)**

Insured called following receipt of advice letter. Reassured Mrs. Vance regarding policy limits headroom. Explained comparative fault defense strategy and how the claimant's medical history will be leveraged to avoid an unjust settlement. Insured agreed with negotiation approach.

09/22/2026 16:00 CST | FORMAL COUNTEROFFER #1 EXTENDED — **M. Davies (Adjuster)**

Extended initial written counteroffer of $24,500 to Attorney Aaron Goldman. Attached detailed explanation of medical specials reduction under CPRC § 41.0104 and comparative fault allocation citing witness testimony.

15. Negotiation Log & Compromise Tracking

Record of formal written and verbal negotiation exchanges conducted between the insurer and claimant's legal counsel leading up to compromise resolution.

Date	Party / Type	Offer / Demand	Key Arguments & Concessions
09/08/2026	Plaintiff (Demand)	$225,000.00	Asserted traumatic herniation, full liability on insured, future surgical risk.
09/22/2026	Carrier (Offer 1)	$24,500.00	Pointed out degenerative MRI baseline, prior 2021 back injury, and 40% comparative fault.
09/26/2026	Plaintiff (Counter 1)	$145,000.00	Attorney dropped future surgery projection; maintained severe physical pain/suffering.
09/29/2026	Carrier (Offer 2)	$32,000.00	Adjuster acknowledged invasive injection procedure and emergency room suturing.
10/02/2026	Plaintiff (Counter 2)	$78,000.00	Plaintiff counsel indicated willingness to resolve before setting formal trial docket.
10/05/2026	Carrier (Offer 3)	$40,000.00	Final authorized bracket midpoint. Stated final pre-litigation resolution limit.

16. Chronological Adjuster Logs (Day 116 – Day 125)

> **10/03/2026 13:10 CST | LIEN RESOLUTION CONFERRAL** — **M. Davies (Adjuster)**
> Conferred with Optum/BCBSTX lien coordinator. Confirmed health carrier will accept a compromised lien payout of $2,100 to fully satisfy subrogation rights upon global settlement. This frees up net recovery funds for the claimant.

> **10/05/2026 16:15 CST | VERBAL SETTLEMENT AGREEMENT REACHED** — **M. Davies (Adjuster)**
> Telephone conference with Attorney Aaron Goldman. After extended negotiation, agreed upon a global settlement of $44,500.00 in full satisfaction of all bodily injury claims, inclusive of all medical liens, attorney fees, and general damages. Required supervisor approval for additional $2,500 above bracket received from S. Gomez.

17. Final Release Terms & Statutory Lien Distribution

The agreement stipulates complete release and indemnification protecting Eleanor Vance and the insurer. The breakdown of settlement funds distribution is audited below:

Gross BI Settlement:	**$44,500.00**
Attorney Fee (33.33%):	-$14,833.33
Legal Case Expenses:	-$450.00
BCBSTX Health Lien:	-$2,100.00 (Compromised)

Sugar Land EMS Out-of-Pocket:	-$1,200.00
LOP Provider Compromise:	-$8,500.00 (Discharged in full)
Net Recovery to Claimant:	**$17,416.67**
Release Form Type:	TX BI Full & Final Release w/ Indemnity

Indemnification & Hold Harmless Clause: Settlement agreement includes explicit indemnification provisions wherein Claimant Marcus Holloway and Plaintiff's counsel agree to defend, indemnify, and hold harmless Eleanor Vance and carrier from any and all outstanding medical liens, Medicare recovery claims, or child support intercept warrants.

18. Chronological Adjuster Logs (Day 126 – Day 135)

10/07/2026 09:30 CST | RELEASE DOCUMENTS SENT TO PLAINTIFF COUNSEL — **M. Davies (Adjuster)**

Transmitted standard Full, Final, and Absolute Release of All Claims to Goldman & Associates. Requested notarized signature from Marcus Holloway along with executed Lien Satisfaction Affidavit. Check request queued in banking queue pending executed documents.

10/12/2026 14:20 CST | EXECUTED RELEASE RECEIVED & VERIFIED — **M. Davies (Adjuster)**

Received fully executed, notarized release signed by Marcus Holloway on 10/11/2026 before notary public Brenda Diaz. Verified signature against driver's license record. Release matches approved legal wording without unauthorized pencil edits. Issued check #CK-9901842 in the amount of $44,500.00 made jointly payable to Marcus Holloway and Goldman & Associates, P.C.

19. Final Financial Ledger & Reserve Reconciliation

All indemnity payments, expense vouchers, and salvage/subrogation credits have cleared banking reconciliation. The financial ledger is finalized as follows:

Coverage Reserve Line	Initial Reserve	Peak Reserve	Final Paid	Reserve Redundancy
Bodily Injury Indemnity (BI)	$15,000.00	$65,000.00	$44,500.00	+$20,500.00
Allocated Loss Adj. Exp. (ALAE)	$2,500.00	$5,000.00	$2,850.00	+$2,150.00
Property Damage Indemnity (PD)	$8,500.00	$19,850.00	$19,850.00	$0.00
PD Salvage Recovery (Subro)	-$1,500.00	-$4,200.00	-$4,200.00	$0.00
Total Net Claim Financials	**$24,500.00**	**$85,650.00**	**$63,000.00**	**+$22,650.00**

20. Supervisory Sign-off & Final File Closure

10/16/2026 10:00 CST | SUBROGATION RECOVERY POSTING **T. Vance (Subrogation)**
Geico issued payment of $7,940.00 representing 40% comparative fault contribution toward property damage total loss payout pursuant to inter-company arbitration compact. Posted to ledger and credit applied.

10/18/2026 15:30 CST | CLOSING ADJUSTER SUMMARY **M. Davies (Senior BI Adjuster)**
File successfully concluded within anticipated settlement range. Comparative negligence strategy reduced claimant demand from $225,000 to $44,500, preserving significant reserve capacity. All liens satisfied. Insured notified of final closure with zero out-of-pocket loss. Recommendation to close file as Closed-Paid (C/P).

MANAGEMENT APPROVAL & FILE CLOSEOUT:
Claim audited in compliance with regulatory claims-handling standards. Reserve redundancies returned to carrier underwriting pool. Release and canceled draft archived in document repository.
Approved by: Sofia Gomez, CPCU, Complex Claims Unit Manager | Date: 10/19/2026